

The 6:15

SATURDAY · AUGUST 15, 2026

NO. 4

THE BOARD

CALENDAR · NEXT 10 DAYS

Mon 8/17	T-bill auctions (13-/26-wk); settlement of Thu's 30-yr bond sale
Tue 8/18	Home Depot earnings, cons. EPS \$4.71; Alaska statewide primary (only one in window)
Wed 8/19	Lowe's earnings, cons. EPS \$4.25
Thu 8/20	Walmart earnings, cons. +7.4% YoY EPS
Wed 8/26	July PCE (BEA, 8:30a ET) — the Fed's actual target gauge
Tue 9/16	Next FOMC decision

No OPEC+ ministerial inside this window (68th JMMC not until 10/4). Retrospective, per standing rule: Alibaba's Qwen3.8-27B and Z.ai's GLM-5.3 both shipped Thu 8/14 **[NEW]**; Databricks raised \$5B at a \$190B valuation, led by Coatue with Blackstone, MGX, T. Rowe Price and Sixth Street Growth — largest VC round confirmed this month **[NEW]**. Nothing verified this run on rocket launches (Starship Flight 14 has slipped to NET September).

METRICS · AS OF FRI 8/14 CLOSE/SETTLE UNLESS NOTED (SATURDAY — NO FRESH PRINTS)

Brent / WTI	\$88.38, +1.51% / \$82.37, +1.38% (ICE, NYMEX front settle) — spread \$6.01
UST 2Y/10Y/30Y	4.17% / 4.70% (one feed: 4.68%) / Thu's \$25B new auction cleared 5.216%, highest since 2001 (Fri secondary close not confirmed this run)
DXY / Gold	99.80, -0.11% / \$4,376.40, +0.60% (Kitco spot, 5:00p ET Fri)
S&P / Nasdaq / VIX	7,489.72 (+0.70%) / 25,373.85 (+1.00%) / 15.99 (-6.44%)
Asia close	Nikkei 68,713.80 (+0.59%) / Hang Seng 25,116.85 (-1.10%)
Europe close	DAX 30,686 (+1.2%) / FTSE 10,751.77 (-0.2%) / CAC 40 -0.2%, level not confirmed

Retail gas	\$4.071/gal natl. avg. (AAA, as of 8/13) — highest August on record
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10-year quote diverges ~2bp across CNBC/tradingeconomics feeds — noted per methodology rule, not reconciled to one number.

HORMUZ COUNTERS

Closure	Day 167 since the Feb. 28 declaration (straits.live, as of 8/14)
Transits	78 during 3-9 Aug, down from 95 prior wk (Lloyd's List, prelim.); 1 vs. 73/day baseline, day 8/9 (PortWatch, lagged)
Strikes, 48h	3 confirmed — 2 ADNOC tankers, drone, Thu 8/13 (UKMTO); 1 more ADNOC vessel, Fri 8/14 evening (UAE FM). Running total: 56 vessel-damage reports since 2/28 (straits.live)
Dark tankers	not confirmed as of press time
War-risk	\$10M-\$14M per VLCC transit, to charterer's account (Lloyd's List/Insurance Day); add-on 7.5%-10% of hull value, up from 1-3% in Jun/early Jul (The National)
Closures/claims	Iran's Persian Gulf Strait Authority, 8/12: strait "remains blocked" until Iran's conditions are met

PortWatch/IMF-Oxford counts individual AIS vessel movements with a multi-day lag; Lloyd's List Intelligence aggregates weekly commercial transits >10,000 dwt with Iran-link attribution; straits.live blends broker war-risk quotes with dark-ship detection; Lloyd's List/Insurance Day dollar figures are broker-quoted ranges, not a single index. Four different universes — none should be averaged or netted against another.

TRANSACTIONS

Yankees, Knicks, Northwestern	No reported roster moves in the last 24 hours
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LEAD

BOND MARKET

Bessent's warning arrives: 30-year debt sells at a 25-year-high yield, even as the front end prices in a cooler Fed

Thursday's \$25 billion sale of new 30-year Treasury bonds cleared at 5.216%, the highest yield on long government debt since 2001, with a 2-basis-point tail and a 2.39 bid-to-cover ratio — in line with the recent average, but enough of a miss to mark the third tailed coupon auction in a row (Bloomberg, Fortune). Bloomberg's framing is the one trading desks are repeating: the bond market's message to Treasury Secretary Scott Bessent is that financing a still-growing federal deficit at the long end now costs a quarter-century high — not because the Fed is expected to keep hiking, but despite the fact that it probably won't.

That's the divergence worth sitting with, because the rest of the curve moved the opposite way this week. July CPI (BLS, released Wed. 8/12) rose just 0.1% month-over-month — 3.4% annually, with core at 2.5%, both a tenth of a point cooler than June — and traders cut the odds of a September hike on CME FedWatch to 42%, down sharply from the roughly 60% priced in as of our last issue. The 2-year yield fell to 4.17% on the news, consistent with that repricing. But the 30-year sold off into a 25-year-high yield the very next day, and the 10-year barely moved (4.70%, essentially flat on the week) — a curve steepening, not a parallel shift.

Two forces explain why the long end and short end are pricing different worlds, and neither is really about the Fed's next meeting. First, Thursday's Producer Price Index (BLS) undercut the CPI narrative: headline flat, but core pipeline prices — stripping out food, energy and trade services — jumped 0.4% for the month, quadrupling June's pace, led by a 6.5% surge in portfolio-management fees. That's a services-inflation signal that flows directly into the Aug. 26 PCE print, the gauge the Fed actually targets, due the week before the Sept. 16 FOMC decision. Second,

oil is adding a fresh variable to that same pipeline even though it isn't in a weekly uptrend: Brent settled Friday at \$88.38, up 1.51% on the session and recovering from a mid-week dip tied to a surprise U.S. stockpile build, but still net lower for the week from Monday's \$89.94 — a market pricing continued Hormuz disruption (three confirmed drone strikes on ADNOC-linked tankers in the last 48 hours; see Iran & Hormuz) as a standing risk premium rather than a resolving one.

The read-through is uneven across assets, which is itself informative. Equities shrugged off the auction entirely — the S&P added 0.70% to 7,489.72 Friday and the VIX fell 6.44% to 15.99, hardly the posture of a market bracing for a duration shock. The dollar was similarly unbothered, with the DXY essentially flat at 99.80. Only the rate-sensitive corners are pricing the result as news: Freddie Mac's 30-year fixed mortgage rate was already at 6.69% as of Aug. 7 — a one-year high — before Thursday's sale even happened. If equities are pricing steady growth and the long end of the curve is pricing fiscal and inflation risk, one of those two reads has more room to be wrong — and a 25-year-high borrowing cost on the government's longest paper, landing the same week the Pentagon confirmed it's swapping out a carrier strained by a record deployment and Washington and Tehran are each escalating reparations demands (see Geopolitics), is not the backdrop that argues equities have it right.

For Fed Chair Kevin Warsh, three months into the job, the auction adds a dimension to a credibility problem CPI alone doesn't solve: even if he holds rates steady in September because inflation cooled, the bond market is telling him — and Bessent — that the deficit-

financing cost of that patience is rising regardless of what the FOMC decides.

POLITICS

The Senate passed a bipartisan stopgap Aug. 8 by a 90-6 vote that funds the government at existing levels through Dec. 11 — past the November midterms — while blocking a proposed rule to expand political appointees' role in reviewing federal grants and barring the administration from shifting funds into Border Patrol accounts. The House, in recess until early September, still has to approve the Senate's changes; no floor vote is scheduled inside this window, so the fiscal-calendar risk flagged two issues ago remains pushed out rather than resolved. The only primary on the calendar in the next 10 days is Alaska's, Tuesday, Aug. 18 — otherwise a quiet stretch domestically, with essentially every other headline this week running through the Fed, the bond market or Hormuz.

ECONOMICS

Beyond the CPI/PPI/auction mechanics in the Lead, Friday's other data point was retail sales: July sales fell 0.6% month-over-month (Census) — the sharpest drop in more than a year — dragged by a 1.8% decline at auto dealers and a 2.2% drop at online retailers, partly offset by gains in apparel (+1.9%) and health/personal care (+0.7%). The three-month trend through July is still up 6.3% year-over-year, so this reads as a pullback from an elevated run rate rather than a collapse, but it landed the same week as the hottest core-PPI print since spring — a combination that complicates any easy read for the Fed. Initial jobless claims for the week ending Aug. 8 rose 9,000 to 209,000, above the 202,000 consensus, though the four-

week average held at 199,000 — claims remain low in absolute terms even as they drift up. The 2s10s spread widened to 53 basis points (10-year 4.70% less 2-year 4.17%) from 48bp in the last issue, consistent with a market pricing the long end, not the short end, as the site of the current stress.

BUSINESS

Three of the week's AI-infrastructure-adjacent earnings prints came in strong on the numbers and mixed on the stock reaction. CoreWeave's Q2 (reported Tue 8/11 after the close) beat on both lines — revenue \$2.58B, more than double a year ago and above the \$2.56B consensus, with a narrower-than-expected per-share loss — and the stock jumped 13.16% after hours to \$102.21 on a backlog past \$104B, including a new \$21B Meta capacity deal layered atop a prior \$14B commitment. Cisco's fiscal Q4 (Aug. 12) also beat — \$17.3B revenue (+18% YoY) against \$16.82B consensus, non-GAAP EPS of \$1.22 versus \$1.17 expected, product orders up 35% YoY — but shares fell after hours anyway on FY27 guidance (\$72.2B-\$73.4B revenue) that apparently didn't clear an elevated bar. Applied Materials (Aug. 13) posted record revenue (\$9.12B, +25% YoY) and record non-GAAP EPS (\$3.50), then fell 5.12% on a revenue-guidance miss. The pattern across all three: strong current-quarter execution, punished forward guidance — a market pricing AI-capex names for perfection. Nvidia's \$500B Wall Street financing coalition (Apollo, Blackstone, BlackRock, Brookfield, Goldman, KKR), which CEO Jensen Huang took public this week, remains non-binding pending final agreements. Separately, Databricks raised \$5B at a \$190B valuation — Coatue-led, with Blackstone, MGX, T. Rowe Price and Sixth Street Growth — the largest VC round confirmed this month.

TECHNOLOGY

Two more frontier models shipped this week, part of what's now a monthly-not-quarterly release cadence: Alibaba's Qwen3.8-27B and Z.ai's GLM-5.3 both launched Thursday. Neither is a step-change alone, but the pace is the story for infrastructure investors — every open-weight release adds inference demand without adding a new training-compute supercycle, part of why chip-equipment makers like Applied Materials are posting revenue records (see Business) even as their stocks get marked down on guidance. The more consequential technology story right now is how AI capex actually gets funded: off balance sheet through Nvidia's \$500B financing push, or through private markets via rounds like Databricks'. Both are, in effect, bets that the demand shown in this week's earnings holds up longer than the guidance skepticism currently priced into the stocks.

GEOPOLITICS

President Trump told a Friday event in Nassau, N.Y. that "pretty soon I'll be declaring the Hormuz Strait a territory of the United States," framing it as following Iran's defeat. Iran's deputy foreign minister for legal and international affairs responded on social media that the strait "cannot be seized by tweet, nor by aircraft carrier, nor by issuing an order" and "will remain Iranian." Read: the claim is rhetorical escalation with no evident execution mechanism, and neither oil nor equities moved on it — but it raises the negotiating temperature just as Pakistan-mediated talks were describing themselves as close to a narrower shipping-lane arrangement (see Iran & Hormuz). Separately, the Pentagon confirmed the USS George Washington carrier group — fresh off a port call in Vietnam Aug. 5 — is steaming to relieve the USS Abraham Lincoln, deployed more than 250 days without a port call in over 200, after Navy Times and Stars and Stripes reported multiple crew suicide attempts aboard. **[single-sourced to those two outlets on the specific incident count]**

IRAN & HORMUZ

Attacks on commercial shipping accelerated into the weekend rather than easing: UKMTO logged drone strikes on two ADNOC-affiliated tankers Thursday, and ADNOC confirmed a third vessel attacked Friday evening — three hits in 48 hours (see Board for the running total). Iran's Persian Gulf Strait Authority reiterated Wednesday that the strait stays blocked until Tehran's conditions are met, directly rejecting U.S. claims of control — the same week Washington's own message hardened toward Trump's "territory"

framing (see Geopolitics), which suggests the rhetorical gap between the two sides widened even as technical talks reportedly narrowed. The Pakistan-mediated proposal — a 60-day arrangement splitting inbound traffic through a northern Iranian-waters lane and outbound through a southern Omani lane — was described as "close" by Islamabad's defense minister as of Aug. 11; no signature has followed by press time. War-risk cover now runs \$10M-\$14M per VLCC transit, payable to the charterer's account; brokers say premiums need 12-36 months of claims-free data to normalize even after any ceasefire — a recovery timeline measured in quarters, a useful check on how much relief a signed lane-sharing deal alone would actually deliver to freight costs.

SPORTS

Yankees	Lost 3-1 at Toronto (Kirk HR, 2 RBI; Bieber the winning pitcher, Thu 8/14); 68-53, 2nd AL East.
Knicks	Off-season, no game.
Northwestern	Off-season; opens Sat 9/5 vs. South Dakota State at the new on-campus Martin Stadium.

Continuity. Dropped as unchanged since 8/11: the Khamenei command-reshuffle roster, Warsh swearing-in backstory, AMD/Samsung/SK Hynix/Astera Labs specifics, May's semiconductor sales record, Knicks free-agency re-signings, and Oman shipping-lane mechanics (superseded above by the Pakistan-proposal status). For next issue: drop the CoreWeave/Cisco/Applied Materials earnings specifics unless there's a follow-on guidance revision; watch whether Monday's open reprises Friday's equity-vs-rates divergence; Home Depot/Lowe's/Walmart earnings (8/18-20) should supersede the current Business section.

Unverified figures are marked in red. Nothing was estimated or filled from memory.